Statutory basis

Every routine in AuditLens exists because a provision requires it. This document records the authority for each, so that a reviewer can check the tool against the law rather than against its own documentation.

Verify each of these against the bare Act, Rules and Order on mca.gov.in and the ICAI's pronouncements before relying on this table. Positions stated here are current to the best of the author's knowledge as at September 2026 and are not a substitute for reading the source.

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1. Presentation — Schedule III to the Companies Act, 2013

What the tool does	Authority
Maps every ledger to a Division I presentation head	Schedule III, Division I (companies applying the Companies (Accounting Standards) Rules, 2021)
Builds the Balance Sheet in the prescribed order and grouping	Schedule III, Division I, Part I
Builds the Statement of Profit and Loss	Schedule III, Division I, Part II
Refuses to map a ledger it cannot classify, and reports the rupee value sitting unclassified	No authority requires this; it exists because a silently mis-mapped ledger appears on the face of the financial statements

Division II applies to companies preparing Ind AS financial statements and Division III to non-banking financial companies. **AuditLens implements Division I only.** The head list in `schedule3.py` would need replacing for either of the others; the engine around it would not.

2. The eleven ratios

Inserted into Schedule III by the Ministry of Corporate Affairs by notification **G.S.R. 207(E) dated 24 March 2021**, applicable to financial statements for the financial year commencing on or after **1 April 2021**.

The ratios, in the order the Schedule lists them, with the numerator and denominator the tool uses:

#	Ratio	Numerator	Denominator
a	Current Ratio	Current assets	Current liabilities
b	Debt-Equity Ratio	Total debt	Shareholders' equity
c	Debt Service Coverage Ratio	Earnings available for debt service	Debt service
d	Return on Equity	Profit after tax	Average shareholders' equity
e	Inventory Turnover Ratio	Cost of goods sold	Average inventory
f	Trade Receivables Turnover Ratio	Net credit sales	Average trade receivables
g	Trade Payables Turnover Ratio	Net credit purchases	Average trade payables
h	Net Capital Turnover Ratio	Net sales	Working capital
i	Net Profit Ratio	Profit after tax	Net sales
j	Return on Capital Employed	Earnings before interest and tax	Capital employed
k	Return on Investment	Income from investments	Cost of investments

Two points on which the Schedule leaves room, and where the tool records the basis it used rather than hiding the choice:

- **Averages.** Turnover ratios use the average of the opening and closing balances where a comparative is supplied, and the closing balance otherwise. Every result carries the basis used.
- **Credit proportion.** Net credit sales and net credit purchases are not derivable from a trial balance. The engagement team supplies the proportion; the default of 1.0 treats the whole of revenue as credit sales and must be overridden where that is not the case.

Schedule III requires an **explanation in the notes for any movement exceeding 25 per cent** against the preceding year. The tool flags them and drafts the note; the commercial reason has to come from management.

3. Journal entry testing

SA 240, "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements", requires the auditor to test the appropriateness of journal entries recorded in the general ledger, because management override of controls is a risk in every entity.

Routine	Why the population is selected
Round-sum entries	Genuine transactions rarely settle on an exact multiple of a lakh
Non-working day postings	Entries outside the normal processing calendar
Period-end material entries	SA 240 identifies entries at the close of the period as higher risk
Back-dated entries	A long lag between the posting date and the recording date
Seldom-used account combinations	A debit/credit pairing outside the entity's normal process
Infrequent posting users	Postings by a user who does not normally post
Benford first-digit distribution	An analytical indicator over the whole population

A flag is a selection, not a finding. The tool never characterises an entry as irregular, and the prompt that drafts the enquiry letter forbids the words "fraud", "irregularity", "manipulation" and "override".

Benford conformity is interpreted on the conventional mean-absolute-deviation bands (Nigrini): below 0.006 close conformity; 0.006 to 0.012 acceptable; 0.012 to 0.015 marginal; above 0.015 non-conforming. These are a convention of the literature, not a requirement of any standard.

4. Materiality

SA 320, "Materiality in Planning and Performing an Audit", requires the auditor to determine materiality for the financial statements as a whole, performance materiality, and the amount below which misstatements are clearly trivial.

The standard prescribes no percentages. The benchmark ranges the tool offers are the commonly applied ones, and the tool records the rate used and flags any rate outside the customary range as requiring documented justification. The auditor determines materiality; the tool does the arithmetic and keeps the record.

5. Sampling

SA 530, "Audit Sampling", requires a method under which every sampling unit has a chance of selection. Monetary unit sampling is implemented, with:

- items at or above the sampling interval selected in full as individually significant;
- the remainder selected systematically from a random start;
- the seed and the random start recorded, so a reviewer can re-perform the selection exactly.

Where the resulting sample would cover more than a quarter of the population, the tool says that sampling is not an efficient response and points to controls reliance, substantive analytical procedures under **SA 520**, or stratification. An arithmetically correct sample that cannot be performed is of no use to an engagement team.

6. CARO 2020

The **Companies (Auditor's Report) Order, 2020** was issued on **25 February 2020** and applies to statutory audits for financial years commencing on or after 1 April 2021. Paragraph 3 carries **twenty-one clauses**, all of which appear in the checklist.

Applicability is tested against paragraph 1(2): one person companies, small companies, banking companies, insurance companies and companies licensed under section 8 are outside the Order, as are private companies within all three of the limits in paragraph 1(2)(iv) — paid-up capital plus reserves not exceeding Rs 1 crore, borrowings not exceeding Rs 1 crore, and revenue not exceeding Rs 10 crore — provided they are not a holding or subsidiary of a public company.

No clause is ever concluded. The tool states what the books evidence and what the auditor should obtain. Every clause is returned with an empty auditor response.

7. What the tool deliberately does not do

- It does not form or suggest an audit opinion.

- It does not conclude on any CARO clause.
- It does not determine materiality; it computes it from the auditor's chosen benchmark and rate.
- It does not implement Ind AS (Schedule III, Division II) or NBFC presentation (Division III).
- It does not assert a commercial reason for any movement in a ratio.
- It does not verify the existence, completeness or valuation of any balance. It analyses what the books say; the audit evidence is the auditor's to obtain.

AuditLens · AICA Level 2 Module C capstone · CA. Rajendra Bagade · Machine-generated analytical output requires the review of a Chartered Accountant.